

men and women at keyboards and screens, gathering, tracking, and analyzing data for the information economy, while countless others are energetically engaged in the burgeoning service economy.

Many of the companies mentioned in the early editions have been merged, restructured, or liquidated out of existence, and some of the tools and methods Graham and Dodd used are outmoded or losing relevance. Book value, for example, is far less relevant for investors today than a century ago. Graham and Dodd recommended that investors purchase stocks trading for less than two-thirds of net working capital, defined as working capital less all other liabilities. Many stocks fit this criterion during the Depression years; far fewer do today.

Yet while many of Graham's examples and tools have been eclipsed by the passage of time, the general principles of Graham and Dodd still hold true because the investor behaviors that drive markets are fixed in human nature, and market inefficiencies can always be found. Generations of investors have adopted the teachings of this book and successfully implemented them across highly varied market environments, geographies, asset classes, and securities types. This would delight the authors, who hoped to set forth principles that would "stand the test of the ever-enigmatic future." (First Edition Preface)

Graham and Dodd witnessed and wrote about how they navigated through the financial markets of the 1930s, an era of protracted economic depression and extreme risk aversion. The decade that began in the late 1920s encompassed the best and then the worst of times in the markets—the euphoric run-up to the 1929 peak, the October 1929 crash, and the relentless grinding down of the Depression years. Though distant from today, exploring such a period remains valuable. After all, each new day has the potential to throw a curveball: a war, a pandemic, a macroeconomic shock, a real estate crash, a financial crisis, the unexpected failure of a prominent company, a sovereign default, a broad-based technological upheaval,